

2026

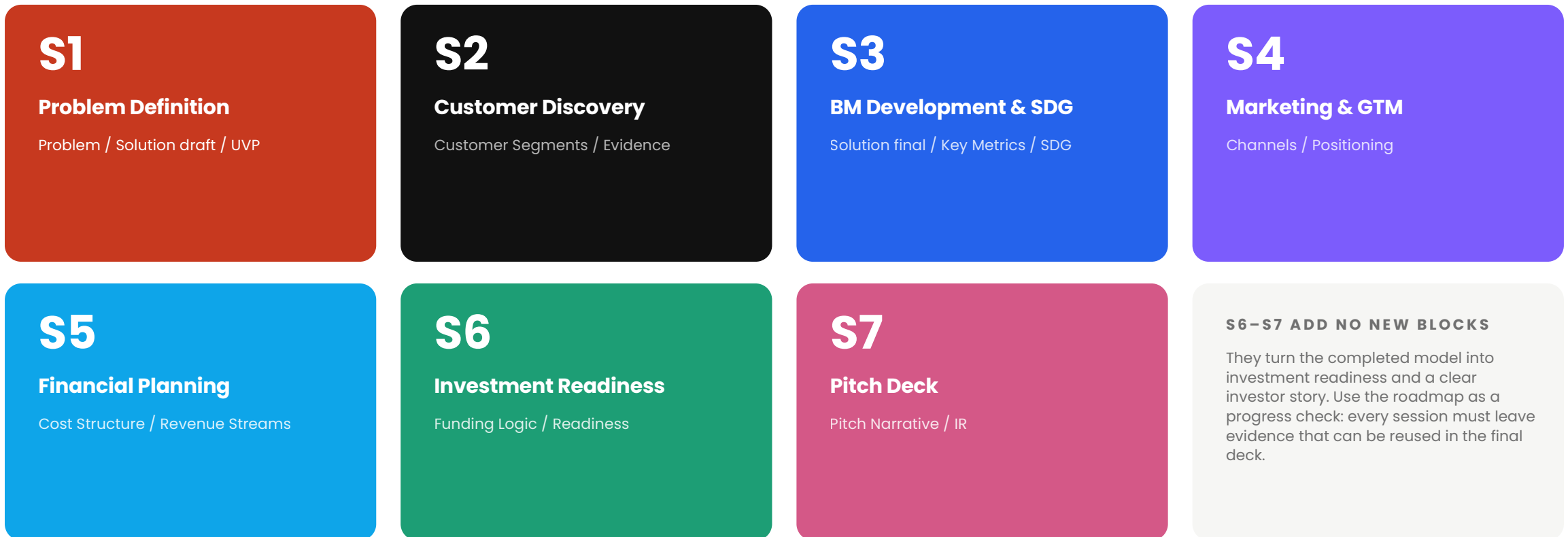
NIGERIA PMC FINANCIAL PLANNING

Financial Planning · **Session 5**

KOICA PMC

Seven Sessions Build One Business Model

S1–S5 complete the 9 blocks. S6–S7 turn the model into investment readiness and investor communication.



**9 BLOCKS BUILT
ACROSS S1–S5**

Problem

Solution

UVP

Segments

Metrics

Channels

Costs

Revenue

Advantage

Lean Canvas Build Map

S1–S5 complete the 9 blocks. S6–S7 translate the completed model into investor communication.

01

Problem

Top 3 pains Existing alternatives

02

Solution

Top features · MVP direction

03

Unique Value Proposition

Clear promise Why now / why you

04

Unfair Advantage

Hard-to-copy edge · Data, trust, network

05

Customer Segments

Early adopters Decision makers

06

Key Metrics

Learning metrics · Impact metrics

07

Channels

Reach and conversion · GTM path

08

Cost Structure

Fixed / variable costs · Runway logic · **TODAY**

09

Revenue Streams

Pricing and capture · Revenue model · **TODAY**

TODAY Write Cost Structure and Revenue Streams.

What This Session Produces

Every session leaves participants with a usable BM artifact.

LESSON GOAL Convert the model into pricing, revenue, cost, and runway decisions.

01

Revenue Model

Define how value is captured.

Use this as evidence for the final BM and investor deck.

02

Pricing

Connect willingness to pay and cost.

This connects willingness to pay with unit economics.

03

Cost Structure

Separate fixed and variable costs.

This shows what must be paid to deliver the model.

04

Runway Plan

Know how long the venture can learn and survive.

Use this as evidence for the final BM and investor deck.

Why is it important?

Cost vs Revenue — what every founder must control.

PRODUCT PRICE

\$100

Net of VAT. Every cost below is paid out of this price — what is left keeps the company alive. If \$100 were VAT-inclusive, net revenue would be \$93.02 and VAT \$6.98.

VAT 7.5% EXCLUSIVE

Added on top of a \$100 net price · net revenue stays \$100

\$7.5

Salary

\$10

Raw Material

\$20

Warehouse

\$1

Office Rent

\$1

01

Survival of the Company

02

Pricing Strategy

03

Cost Efficiency

04

Investment Attractiveness

Runway

Is Your Runway Safe?

Start with

\$2,000

First Employee

-\$200 / mo

Product Cost

-\$300 / mo

First Revenue

\$500

Q1

From when would you need Investment / Loan?

Q2

Are your costs reasonable?

Q3

What should be your minimum revenue?

Fixed / Variable

Fixed cost makes runway shorter.

FIXED COST

Rent & Office Space

Salaries

Subscription Fee

Paid whether or not you sell. Every fixed cost shortens runway.

VARIABLE COST

Raw Material / Infrastructure Fee

Cost of Goods Sold

Gas Refuel

Moves with volume. Scales up and down with demand.

What is your Pricing Strategy?

Three core approaches to pricing.

REVENUE STRUCTURE A complex outcome of Price / Profit Model / Value delivered to your customer.

01

VALUE BASED

Pricing strategy based on what customers are willing to pay.

02

COST + MARGIN

Cost (direct cost for developing product) + Profit.

03

COMPETITIVE

Match or undercut competitor price.

Shows Everything

Financial Snapshot — the inputs every projection needs before it can be trusted.

A Capital & Funding

Total Capital Raised

Expected Next Round

Next Round — Target Month (1–12)

B Monthly Costs

Payroll — total salaries

Rent & Utilities

Tech & Software

Marketing & Sales

Professional Fees

Other Fixed Costs

C Revenue Target

Target Launch Month (1–12)

Target Monthly Revenue at Launch

Expected Monthly Growth Rate

Target Gross Margin

D Team

Number of Founders

Number of Employees

These four input blocks drive the whole 12-month projection on the next slide.

12-Month Cash Projection

Two teams, same market, solo-founder scale (₦1,500/USD). Launch timing and growth rate decide who survives month 12.

SUCCESS CASE ₦5M cap · ₦700K burn · launch M4 · 30% MoM												
	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Capital Injection	₦5.0M	₦0	₦0	₦0	₦0	₦0	₦0	₦0	₦0	₦0	₦0	₦0
Revenue (₦)	₦0	₦0	₦0	₦300K	₦390K	₦507K	₦659K	₦857K	₦1.1M	₦1.4M	₦1.9M	₦2.4M
Monthly Burn (₦)	₦700K	₦700K	₦700K	₦700K	₦700K	₦700K	₦700K	₦700K	₦700K	₦700K	₦700K	₦700K
Cash Balance (₦)	₦4.3M	₦3.6M	₦2.9M	₦2.5M	₦2.2M	₦2.0M	₦2.0M	₦2.1M	₦2.5M	₦3.3M	₦4.5M	₦6.2M

WARNING CASE ₦8M cap · ₦900K burn · delayed launch M7 · 18% MoM												
	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Capital Injection	₦8.0M	₦0	₦0	₦0	₦0	₦0	₦0	₦0	₦0	₦0	₦0	₦0
Revenue (₦)	₦0	₦0	₦0	₦0	₦0	₦0	₦200K	₦236K	₦278K	₦329K	₦388K	₦458K
Monthly Burn (₦)	₦900K	₦900K	₦900K	₦900K	₦900K	₦900K	₦900K	₦900K	₦900K	₦900K	₦900K	₦900K
Cash Balance (₦)	₦7.1M	₦6.2M	₦5.3M	₦4.4M	₦3.5M	₦2.6M	₦1.9M	₦1.2M	₦614K	₦43K	-₦469K	-₦912K

Choose a Revenue Model That Fits Behavior

The model must match how customers buy.

01

Direct Sales

Customer pays for a product or service.

02

Subscription

Recurring access or service.

03

Transaction Fee

Take a fee from each transaction.

04

Commission

Earn a percentage from matching sides.

05

Freemium

Free entry with paid upgrade.

06

PAYG

Pay as use or pay over time.

Every Revenue Model Needs a Formula

Before forecasting, define the unit that produces revenue and the metric that proves it repeats.

Direct Sales

$$\text{Revenue} = \text{Units Sold} \times \text{Price per Unit}$$

Use when the company sells a product or service directly.

Transaction Fee

$$\text{Revenue} = \text{Successful Transaction Volume} \times \text{Take Rate}$$

Use when the startup participates in repeated value exchange.

PAYG / Financing

$$\text{Revenue} = \text{Active Assets} \times \text{Periodic Payment} \times \text{Collection Rate}$$

Use when customers cannot afford full upfront payment.

Marketplace

$$\text{Net Profit} = \text{Order Value} \times \text{Take Rate} - \text{Fulfillment Cost}$$

Use when matching, logistics, support, and dispute cost matter.

Subscription

$$\text{MRR} = \text{Active Paying Accounts} \times \text{Monthly Fee}$$

Use when customers pay for recurring workflow access.

Commission

$$\text{Revenue} = \text{GMV} \times \text{Commission Rate}$$

Use when the company enables a buyer-seller match.

B2B SaaS

$$\text{Revenue} = \text{Client Accounts} \times \text{Seats per Account} \times \text{Price per Seat}$$

Use when organizations pay for operational software.

Information Product

$$\text{Revenue} = \text{Paid Seats} \times \text{Subscription Price} + \text{Custom Reports}$$

Use when recurring decision value drives renewal.

RULE Name the revenue unit first. A forecast without a unit is a wish, not a model.

Why Are We Reviewing Revenue Model?

In BM Development, revenue model answers how money is earned. In Financial Planning, it answers whether growth creates cash or destroys it.

01

BM Development view

Who pays, what they pay for, and why they are willing to pay.

02

Financial Planning view

How much cost is triggered by each sale, user, transaction, or location.

03

Investor view

Does more revenue improve margin, runway, and evidence for the next round?

FOCAL POINT revenue unit → cost driver → margin → cash timing → hiring / scaling decision

Revenue Is Only Useful After Cost and Margin Are Visible

A founder should not forecast revenue alone: show what each unit of revenue costs to create.

01

Revenue Model

Price, take-rate, subscription, commission, usage fee, product sale.

02

Cost Structure

COGS, CAC, support, delivery, server, taxes, staff, and working capital.

03

Margin

Can the model survive when it grows?

LESSON Do not hire, expand, or raise based only on top-line revenue.

Why Revenue and Cost Must Be Planned Together

An AI startup can grow users and still lose money when token cost, CAC, and fixed cost rise faster than price.

01

Raise cash
Use runway to build and acquire early users.

02

Sell plan
\$20/month subscription looks simple.

03

Usage grows
Each prompt creates token + cloud cost.

04

Change pricing
Add caps or membership tiers to control cost.

05

Risk appears
Heavy users churn or unit economics stay negative.

AI assistant forecast: 100 paying users

Revenue	+ \$2,000	100 users × \$20
Token / inference cost	- \$900	heavy AI usage
Cloud + support + payment	- \$400	server, support, fees
CAC this month	- \$600	40 new users × \$15
Fixed operating cost	- \$700	tools + part-time ops
Net cash result	- \$600	revenue grew, cash burned

USAGE COST CAN BREAK MARGIN

READ IT THIS WAY
Revenue looks healthy. Cost timing tells the truth.
The founder sees revenue. The model sees cash drain.

RESULT
\$2,000 revenue month still burns \$600 cash.

LESSON Do not scale price, hiring, or membership plans until revenue, usage cost, CAC, and churn work together.

Paystack: Transaction Fee Infrastructure

A payment company earns when merchants successfully collect digital payments.

REVENUE FORMULA

$$\text{Revenue} = \text{Successful Payment Volume} \times \text{Take Rate} - \text{Processing / Fraud Cost}$$

01 Who Pays

Online and offline merchants pay because reliable payment acceptance helps them complete sales.

02 Revenue Unit

A successful card, bank transfer, or digital payment transaction creates the fee opportunity.

03 Cost Driver

Processing fees, settlement operations, fraud monitoring, chargebacks, compliance, and support grow with usage.

04 Metrics

TPV, success rate, active merchants, take-rate, dispute rate, chargeback loss, and merchant retention.

LESSON LENS

Do not forecast only transaction volume. A payment model works when transaction success, trust, fraud control, and merchant retention rise together.

Moniepoint: Merchant Banking and POS Network

Merchant finance models monetize repeated business transactions and operating trust.

REVENUE FORMULA

$$\text{Revenue} = \text{Active Merchants} \times \text{Transactions per Merchant} \times \text{Fee / Spread}$$

01 Who Pays

SMEs and merchants pay directly or indirectly through POS, payments, business banking, and financial services.

02 Revenue Unit

A merchant transaction, POS activity, account service, float, or credit / financial product creates value capture.

03 Cost Driver

Agent / POS network, device uptime, liquidity operations, compliance, fraud control, field support, and customer service.

04 Metrics

Active merchants, transactions per merchant, POS uptime, float, repeat usage, default / fraud rate, and support cost.

LESSON LENS Merchant infrastructure revenue is not just fintech volume. Operational reliability is part of the revenue model.

Helium Health: B2B Health SaaS

Clinic and hospital software becomes revenue when it becomes daily operating infrastructure.

REVENUE FORMULA

$$\text{MRR} = \text{Active Facilities} \times \text{Monthly Subscription} + \text{Implementation / Service Fees}$$

01 Who Pays

Clinics, hospitals, and healthcare operators pay when software improves records, workflow, billing, or operations.

02 Revenue Unit

A subscribing facility, user seat, module, implementation, or service contract becomes the billable unit.

03 Cost Driver

Onboarding, training, integrations, hosting, data security, customer success, and support grow with account complexity.

04 Metrics

Active facilities, renewal rate, module usage, seat expansion, churn, onboarding time, and support load.

LESSON LENS For B2B SaaS, sales is only the start. Renewal depends on whether the product becomes embedded in the customer's workflow.

ReelFruit: Direct Product Sales

Consumer packaged goods revenue depends on units, margin, distribution, and inventory discipline.

REVENUE FORMULA

Gross Profit = Units Sold × Net Selling Price – COGS – Distribution Cost

01 Who Pays

Retailers, distributors, or consumers pay for packaged snacks with a clear product value proposition.

02 Revenue Unit

Each pack, carton, or wholesale order creates revenue; repeat purchase and retail sell-through matter.

03 Cost Driver

Raw fruit, processing, packaging, logistics, retailer terms, spoilage, stockouts, and inventory holding cost.

04 Metrics

Units sold, gross margin, sell-through, order frequency, distribution points, spoilage, and cash conversion cycle.

LESSON LENS Direct sales looks simple, but margin can disappear through spoilage, payment terms, inventory, and distribution cost.

M-KOPA: PAYG Asset Financing

PAYG expands access when high upfront cost blocks adoption, but repayment discipline decides viability.

REVENUE FORMULA

Revenue = Financed Devices × Periodic Repayment × Collection Rate + Upgrades

01 Who Pays

Customers pay small recurring amounts for devices or productive assets they could not purchase upfront.

02 Revenue Unit

A financed asset with recurring repayments creates revenue; upgrade and cross-sell can expand LTV.

03 Cost Driver

Device procurement, financing cost, collections, defaults, repairs, field service, and fraud / device loss.

04 Metrics

Repayment rate, default rate, active devices, upgrade rate, collection cost, retention, and payback period.

LESSON LENS PAYG is access plus credit risk. The model is strong only when affordability and repayment economics work together.

Stears: Information Subscription

A research and data product earns when customers repeatedly need better decisions.

REVENUE FORMULA

Revenue = Paid Seats × Subscription Price + Reports / Data Services

01 Who Pays

Professionals, institutions, policy teams, investors, and enterprises pay for decision-useful information.

02 Revenue Unit

A paid seat, organization subscription, report, dataset, or advisory / data service creates revenue.

03 Cost Driver

Research production, editorial quality, data collection, analyst time, platform, sales, and renewal support.

04 Metrics

Paid seats, renewal, content usage, seat expansion, report sales, churn reason, and willingness to pay.

LESSON LENS Information products renew when the insight becomes part of recurring decisions, not when content is merely interesting.

Pricing Is Not Guessing

Price must reflect value, alternatives, and ability to pay.

RISK

Weak Pricing

Copied from competitors or chosen randomly.

BETTER DIRECTION

Strong Pricing

Linked to saved cost, created revenue, or avoided risk.

Value-Based Pricing Logic

Start from the economic impact.

Price should be lower than **[customer value created]** and higher than **[cost to serve]**

01

Value Created

Savings, revenue, risk reduction

02

Alternative Cost

Current workaround cost

03

Cost to Serve

Delivery and support cost

04

Margin

Room to sustain growth

Separate Fixed and Variable Costs

Costs behave differently as the model grows.

01

Fixed Costs

Team, rent, core tools, licenses.

02

Variable Costs

Delivery, transaction fees, support, inventory.

03

Customer Acquisition

Sales, marketing, partnerships, incentives.

04

Hidden Costs

Compliance, refunds, downtime, churn recovery.

Unit Economics Shows Model Health

One customer or transaction should make sense before scale.

01

Price

What customer pays.

02

COGS

Direct cost to deliver.

03

Gross Margin

What remains after direct cost.

04

CAC

Cost to acquire customer.

05

LTV

Expected customer value over time.

Simple Unit Economics

Keep the first model understandable, but make every cost category explicit.

Gross Profit = Price - COGS

Net Profit = Gross Profit - CAC - Operating Cost

01

Price

Revenue per unit, transaction, seat, machine, or month.

02

COGS

Costs required to deliver the unit: raw material, payment fee, delivery, server usage, transaction tax.

03

CAC

Cost to acquire the buyer: ads, sales commission, referral discount, agent visit, onboarding.

04

Net Profit

What remains after COGS, CAC, and operating costs. This is what funds runway.

Classify Costs by Behavior, Not by Name

The same cost can be fixed or variable depending on what makes it move: unit sold, customer acquired, usage, or time.

COGS / Direct Cost

VARIABLE

Raw material · Packaging · Delivery per order · Payment processing fee · Token / server usage · VAT / transaction tax

FIXED / BASE

Minimum supplier order · Base cloud capacity · Quality control staff · Warehouse retainer · Equipment lease

Trigger: per unit sold

CAC / Acquisition Cost

VARIABLE

Facebook / Google ads · Referral discount · Sales commission · Influencer fee · Free trial subsidy · Onboarding visit

FIXED / BASE

Brand campaign retainer · Marketing tool subscription · Sales team base salary · CRM / analytics seat · Creative agency retainer

Trigger: per new customer

Operating Cost

VARIABLE

Usage-based rent · Coworking seat · Pop-up store fee · Storage by volume · Contractor hours · Support tickets

FIXED / BASE

Office rent · Founder / admin salary · Legal / accounting · Base software subscriptions · Management overhead

Rent may be variable: revenue-share, pop-up, per-seat, storage volume.

LESSON Cost names matter less than cost behavior. Forecast the trigger: unit, customer, usage, or month.

Unit Economics Tell You Whether Growth Helps or Hurts

The same revenue growth can create cash or burn cash depending on cost behavior.

What Helps

Each new customer improves margin, cash timing, or repeat value.

Price rises without churn

COGS falls as volume grows

Repeat purchase improves LTV

CAC payback stays under 3 months

Part-time labor covers early demand

Hiring waits for repeatable volume

What Hurts

Each new customer adds hidden loss, cash delay, or reacquisition cost.

Revenue grows with negative margin

CAC is larger than gross profit

Refunds, fraud, or delivery cost rises

Churn forces constant reacquisition

Full-time hiring comes too early

Fixed cost grows faster than cash

HOW TO READ Read growth through unit economics: not whether revenue rose, but whether each unit makes cash stronger.

Runway Is Learning Time

Financial planning should protect validation time.

01

Cash In Bank

Available cash now.

02

Monthly Burn

Average monthly cash outflow.

03

Revenue Offset

Cash collected from customers.

04

Runway

Months before cash runs out.

Runway Snapshot: Is Your Runway Safe?

Use a small numeric example first, then move into the full spreadsheet.

Starting Cash

\$2,000

Cash available for learning, not just the bank balance.

Monthly Burn

\$500

Salary \$200 + product / operating cost \$300.

Collected Revenue

\$200

Only collected cash reduces burn. Promised revenue does not.

RESULT $\text{Runway} = \$2,000 / (\$500 - \$200) = 6.7 \text{ months}$. If revenue is delayed, runway falls back to **4.0 months**.

Runway Formula

Use conservative assumptions.

$$\text{Runway} = \text{Cash Available} / \text{Net Monthly Burn}$$

01

Cash

Money available

02

Burn

Monthly spending

03

Revenue

Cash collected

04

Months

Learning time

Forecasts Need Evidence

Avoid fantasy numbers in early planning.

01

Customer Count

Based on channel and conversion.

02

Price

Based on value and alternatives.

03

Conversion

Based on tests or benchmarks.

04

Cost

Based on actual supplier or delivery cost.

05

Timing

Based on realistic sales cycle.

Bottom-Up Beats Top-Down

Market size does not automatically become revenue.

RISK

Top-Down Fantasy

If we get 1% of a huge market...

BETTER DIRECTION

Bottom-Up Model

Customers reached × conversion × price × retention.

Forecast Case: \$100 Product, \$2,000 Monthly Revenue

A good forecast explains where revenue came from, what it cost, and whether hiring is justified.

METRIC	ASSUMPTION	MONTHLY IMPACT	FORECAST MEANING
Units sold	20 machines × \$100	\$2,000 revenue	Top-line target
Repeat vs new	12 repeat + 8 new	60% repeat demand	Early retention signal
Marketing	8 new buyers × \$25 CAC	-\$200 CAC	Can acquisition pay back?
COGS	20 units × \$45	-\$900 COGS	Materials + delivery + tax
Labor	Part-time support	-\$300 labor	Avoid full-time until 100+ units/month
Net result	Revenue - all costs	\$600 net profit	Safe to keep testing

LESSON Forecast from behavior, not hope. Separate repeat revenue, new acquisition, COGS, and labor before scaling.

The Workbook Turns BM Assumptions Into Cash Logic

Use the financial planning sheet as a playbook: start from drivers, then let formulas expose runway and risk.

01

Revenue Drivers

Users, transactions, accounts, price, take-rate.

02

Cost Drivers

Payroll, rent, SaaS, marketing, tax, delivery.

03

Customer Drivers

MAU, paying users, conversion, churn, ACV.

04

Metrics

CAC, LTV, margin, burn, runway.

05

Scenario

Base, conservative, upside.

Financial Planning Workbook: What Each Sheet Does

The model is useful because each tab answers a different founder decision question.

WORKBOOK AREA	WHAT STUDENTS FILL	FORMULA / LOGIC	WHY IT MATTERS
Summary	Funding, revenue, costs, cash, liabilities, runway	Closing Cash = Opening Cash + Net Cash Flow; Runway = Closing Cash / Burn Rate	Shows whether the business can survive long enough to learn.
Revenue	Operating revenue items and non-operating income	Total Revenue = Operating Revenue + Grants / interest / other income	Forces teams to separate real business revenue from support income.
Costs	Payroll, rent, SaaS, professional fees, taxes, marketing, G&A	Total Costs = Operating Costs + CIT + Education Tax	Prevents hidden costs from being ignored in pricing and runway.
Customers	B2C users, paying users, B2B clients, ACV, churn	Revenue = Paying Users × ARPU + Client Companies × ACV	Links GTM assumptions to financial outcomes.
Tax & Rates	VAT, CIT, Education Tax, WHT, pension, lending / deposit rates	Tax rates and statutory costs feed cost and cash assumptions	Makes the model Nigeria-aware rather than generic.
Metrics	CAC, LTV, margin, MRR, ARR, churn, burn, runway	LTV = ARPU × Gross Margin × Retention; CAC = Acquisition Spend / New Customers	Turns the spreadsheet into decision guidance, not just accounting.

Revenue Planning Starts With the Unit of Value

Model each revenue line from a driver, not from a desired total.

WORKBOOK AREA	WHAT STUDENTS FILL	FORMULA / LOGIC	WHY IT MATTERS
Operating Revenue	Product, subscription, transaction, commission, service revenue	Line Revenue = Volume × Price / Fee / Take Rate	Shows whether revenue comes from actual customer behavior.
B2C Revenue	Paying users, conversion rate, ARPU	B2C Revenue = Paying Users × ARPU	Prevents registered users from being mistaken for revenue.
B2B Revenue	Client companies, ACV, monthly client revenue	B2B Revenue = Active Clients × ACV / 12	Connects enterprise sales cycle to monthly cash.
Transaction Revenue	TPV / GMV, transaction frequency, take-rate	Transaction Revenue = Successful Volume × Take Rate	Works only when trust and repeat behavior grow together.
Non-Operating Income	Grant, interest, subsidy, rental or other income	Total Revenue = Operating Revenue + Non-Operating Income	Useful for cash planning, but should not hide weak core revenue.

Cost Planning Must Reveal What Scales With Usage

A startup can look profitable until payroll, support, taxes, and marketing are added honestly.

WORKBOOK AREA	WHAT STUDENTS FILL	FORMULA / LOGIC	WHY IT MATTERS
Payroll & Labour	Founder salary, tech, marketing, ops, pension, outsourcing	Payroll Total = Salary Lines + Employer Pension + Contractors	Usually the largest fixed cost; hiring decisions change runway.
Rent & Facilities	Office, utilities, internet, storage, service locations	Facilities Cost = Rent + Power + Operating Site Costs	Especially important where power, logistics, or physical presence matter.
SaaS & Subscriptions	Cloud, software, collaboration tools, gateway / POS fees	SaaS Cost = Fixed Tools + Usage-Based Platform Fees	Technology cost can become variable as usage grows.
Marketing & Ads	Digital ads, content, events, PR, incentives	CAC Spend = Marketing Cost × Acquisition Allocation	Connects GTM spend directly to CAC and payback.
Taxes & Levies	VAT logic, CIT, Education Tax, WHT, licenses	Total Tax Cost = Applicable Tax Base × Tax Rate	Nigeria-specific statutory cost must be visible before fundraising.
G&A / Professional	Legal, accounting, insurance, bank fees, admin	Operating Cost = Department Costs + Professional + Admin	Small neglected items compound into burn-rate surprises.

Customer Drivers Connect GTM to the Forecast

The strongest financial model is built from customer behavior, not a top-down revenue target.

WORKBOOK AREA	WHAT STUDENTS FILL	FORMULA / LOGIC	WHY IT MATTERS
Registered Users	Total signups or accounts created	Registered Users = Prior Users + New Users – Removed Users	Useful for reach, but weak if activation is low.
MAU / Activation	Monthly active users or active merchant accounts	Activation Rate = MAU / Registered Users	Shows whether customers use the product after discovering it.
Paying Users	Users who generate actual revenue	Paying Users = MAU × Conversion Rate	Separates interest from monetization.
ARPU / ACV	Revenue per user or annual contract value	B2C Revenue = Paying Users × ARPU; B2B Revenue = Clients × ACV	Turns pricing into a measurable forecast driver.
Churn	Users or clients lost in the period	Net Users = Opening + New – Churned	Retention drives subscription, SaaS, and transaction models.

Metrics Translate the Model Into Investor-Ready Signals

Use metrics to decide whether to scale, revise pricing, or reduce burn before fundraising.

WORKBOOK AREA	WHAT STUDENTS FILL	FORMULA / LOGIC	WHY IT MATTERS
CAC	Marketing cost attributed to acquisition and new customers	$CAC = \text{Acquisition Spend} / \text{New Customers Acquired}$	Shows whether the GTM channel is economically realistic.
LTV	ARPU, gross margin, retention period	$LTV = \text{ARPU} \times \text{Gross Margin} \times \text{Retention Months}$	Shows how much value a retained customer can produce.
LTV / CAC	LTV and CAC from the same customer segment	$LTV/CAC = LTV / CAC$	Only useful if CAC and LTV describe the same segment and period.
MRR / ARR	Monthly recurring revenue and annualized run-rate	$ARR = MRR \times 12$	Useful for subscription / SaaS, misleading if revenue is one-off.
Burn / Runway	Monthly burn, net burn, closing cash	$\text{Runway} = \text{Closing Cash} / \text{Net Monthly Burn}$	Shows how many months remain to prove the next milestone.

Core Financial Formulas Students Should Keep Beside the Model

These formulas should appear in the spreadsheet and in the pitch story.

Gross Profit

Revenue - Direct Cost / COGS

How much value remains after delivery.

Gross Margin

Gross Profit / Revenue

Shows pricing and delivery health.

Net Profit

Revenue - Variable Cost - CAC

Tests if growth improves or worsens cash.

CAC

Acquisition Spend / New Customers

Connects marketing to customer economics.

LTV

ARPU × Gross Margin × Retention Period

Estimates customer value over time.

LTV / CAC

LTV / CAC

Checks whether acquisition spend is justified.

MRR

Active Paying Accounts × Monthly Fee

Recurring revenue base.

ARR

MRR × 12

Annualized recurring revenue.

Burn Rate

Monthly Cash Outflow - Cash Inflow

How much cash is consumed each month.

Runway

Cash Available / Net Monthly Burn

Months before cash runs out.

Take Rate

Net Margin

Financial Terms Should Be Easy to Read and Reuse

Define each term once, then use the same vocabulary in the spreadsheet, pitch deck, and investor conversation.

CAC

Cost to acquire one paying customer.

Acquisition spend / new customers

LTV

Expected gross value from one customer over time.

ARPU × gross margin × retention

ARPU

Average revenue produced by one paying user.

Revenue / paying users

ACV

Annual contract value for one B2B customer.

Contract value / year

MRR

Recurring revenue expected in one month.

Active accounts × monthly fee

ARR

Annualized recurring revenue run-rate.

MRR × 12

COGS

Direct cost required to deliver the product.

Materials + delivery + direct fees

Gross Margin

Share of revenue left after direct costs.

Gross profit / revenue

Net Profit

Cash left after variable, acquisition, and operating cost.

Revenue – costs

Churn

Customers or revenue lost during a period.

Lost customers / opening customers

Burn Rate

Cash consumed per month after inflows.

Cash outflow – cash inflow

Runway

Months the company can operate before cash runs out.

Cash / net burn

GMV / TPV

Total value of orders or payments processed.

Order or payment volume

Take Rate

Share of transaction value captured as revenue.

Platform revenue / GMV

Payback

Time needed to recover acquisition cost.

CAC / monthly gross profit

Net Margin

Profitability after all operating costs and tax.

Net profit / revenue

Terms aligned for the Session 5 financial planning workbook and investor deck usage.

WeWork: Flexible Revenue, Fixed Commitments

The business model looked like tech-enabled growth, but the financial plan behaved like real estate leverage.

Q1 2022 REVENUE

\$765M

Revenue still large after restructuring.

Q1 2022 NET LOSS

\$504M

Loss improved, but still material.

OCCUPANCY

68%

622,880 occupied desks out of 916,000.

REVENUE / DESK

\$278

Revenue per available desk per month.

LOSS / DESK

-\$183

Loss per desk per month.

Fixed commitments

Long leases, build-out, location operating cost.

Variable revenue

Members can leave; occupancy and desk price move.

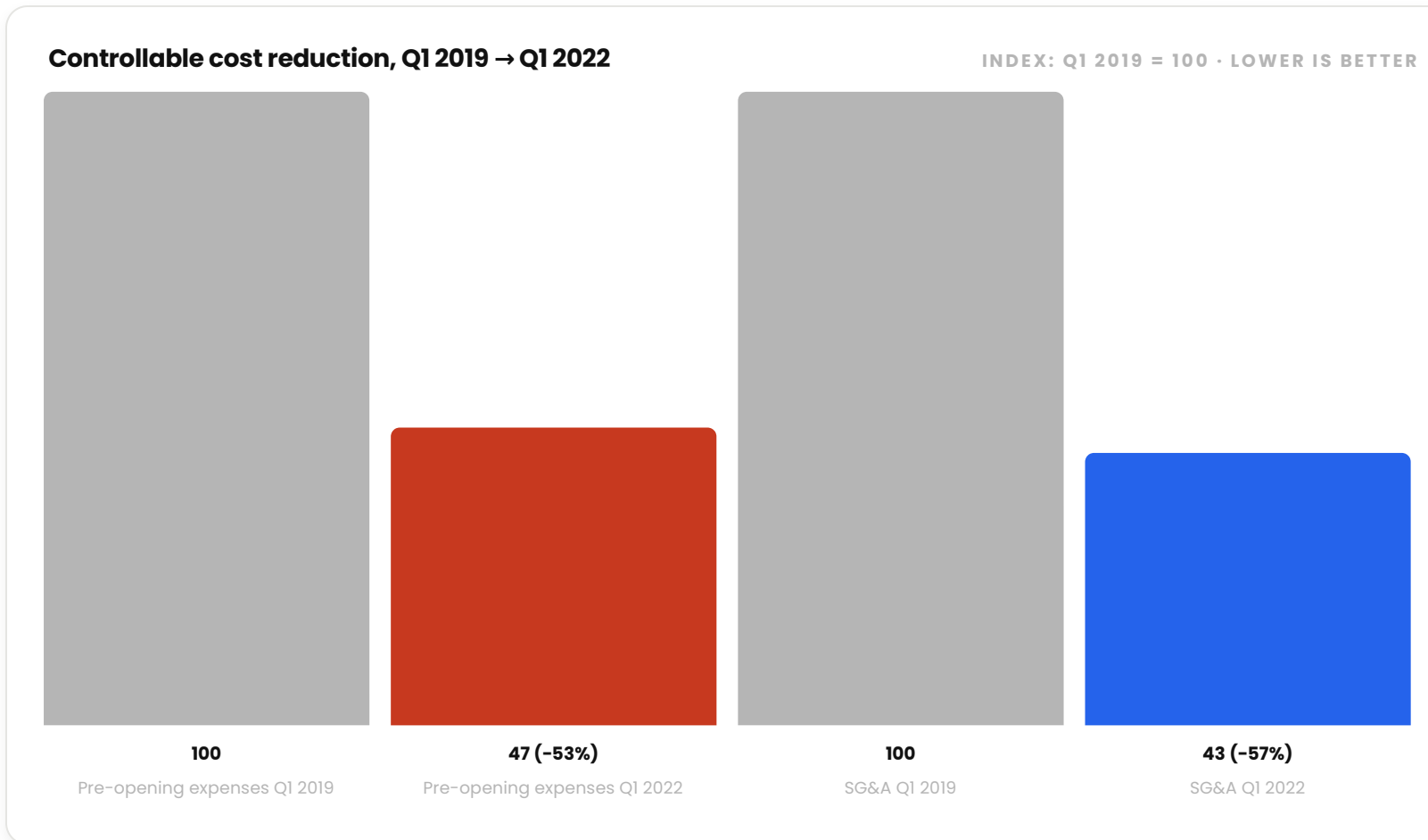
Financial mismatch

Revenue recovery did not automatically cover fixed commitments.

CORE LESSON A weak financial plan can hide inside a famous brand: growth only helps if occupancy, price, and cost structure reach breakeven together.

Cost Cutting Helped, but Breakeven Still Did Not Arrive

The controllable costs improved. The location commitments still had to be covered by desk revenue.



KEY READING

Costs got healthier, but the business still needed enough desk revenue to cover fixed location commitments.

SG&A means...

Sales, General & Administrative: sales team, marketing admin, HQ staff, legal, accounting, and overhead.

Location operating expense

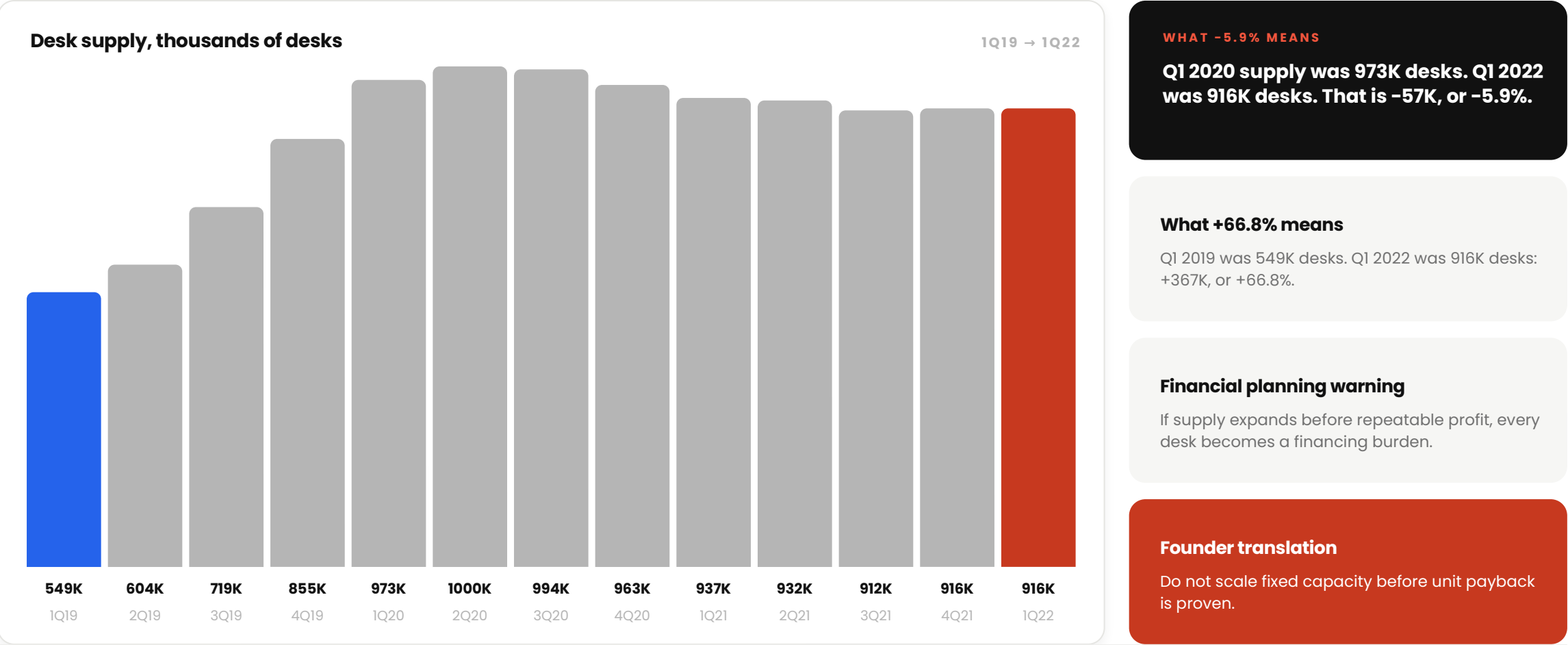
Rent-like site operating costs tied to opened locations. Hard to cut without closing desks. 43% of total cost in Q1 2019 → 20% in Q1 2022.

Lesson point

Cost cuts are not the same as breakeven.

Desk Supply Stayed High, So Fixed Commitments Stayed Heavy

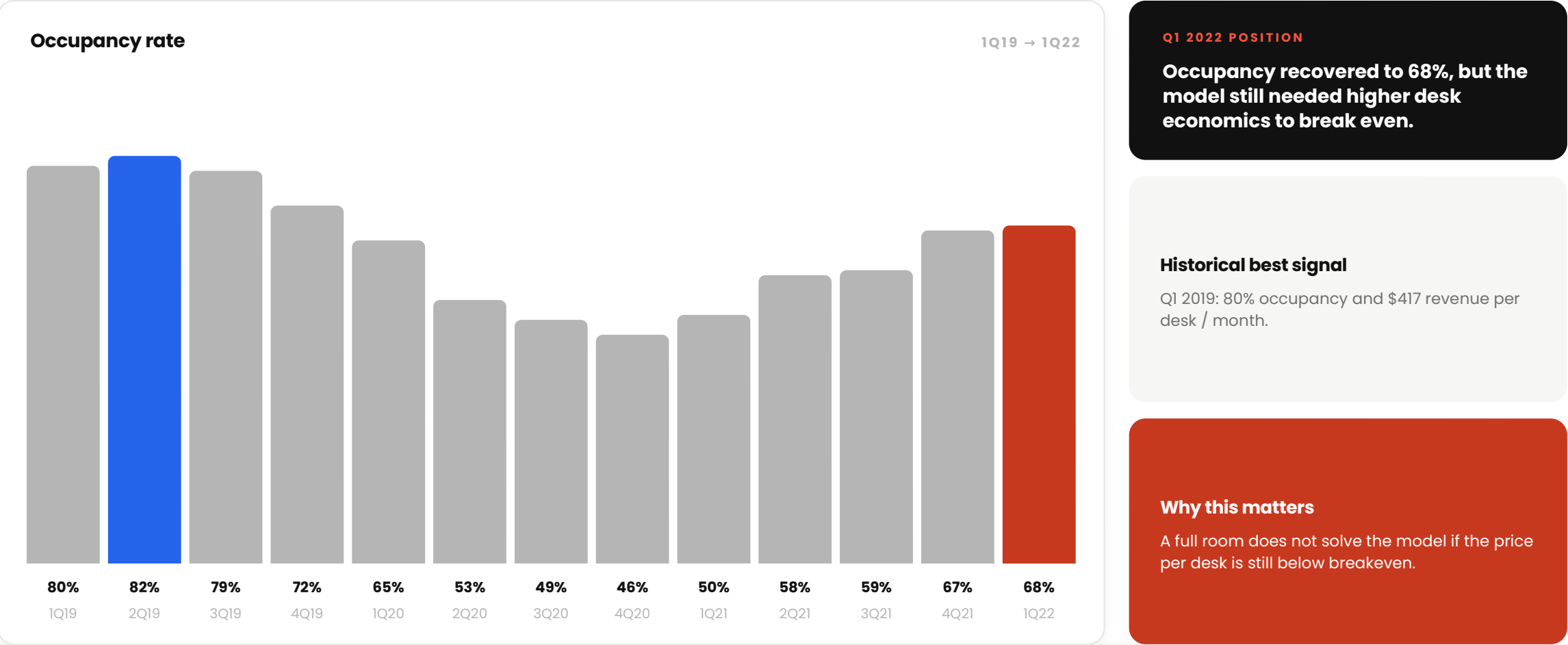
The supply base barely shrank from the pre-pandemic peak and remained much larger than 2019.



Source: Coworkintel desk supply chart, May 2022. Percent calculations: 973K → 916K; 549K → 916K

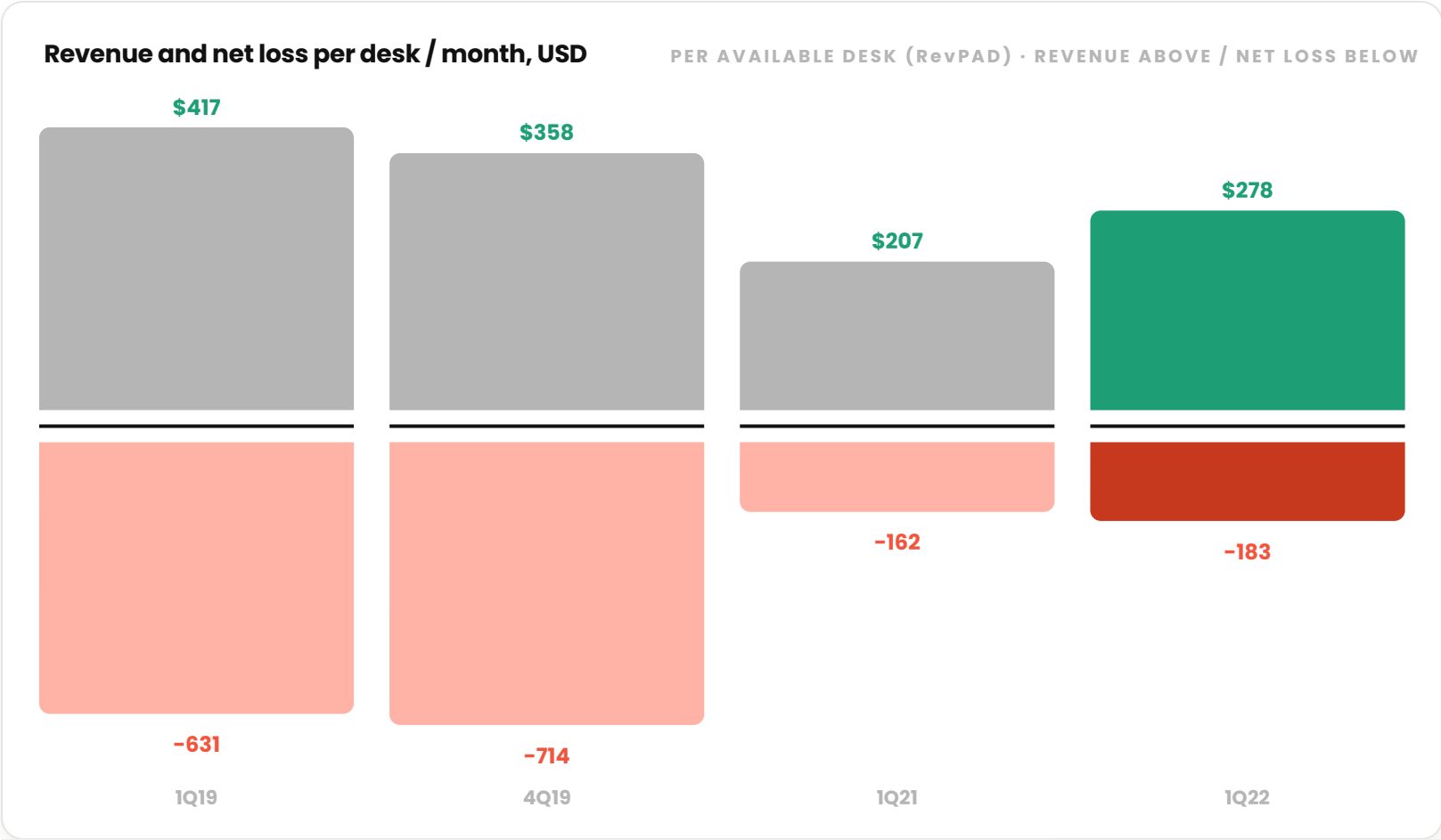
Occupancy Recovered, but Occupancy Alone Was Not Enough

Demand improved after the pandemic low, but each occupied desk still had to carry enough margin.



Revenue Improved, but Each Desk Still Lost Money

Per available desk (RevPAD): revenue improved to \$278, but loss remained -\$183 per desk per month.



Q1 2022 READOUT

RevPAD (per available desk) was \$278. Net loss was still -\$183. Divided by 68% occupancy, that is \$409 per occupied desk.

The good news

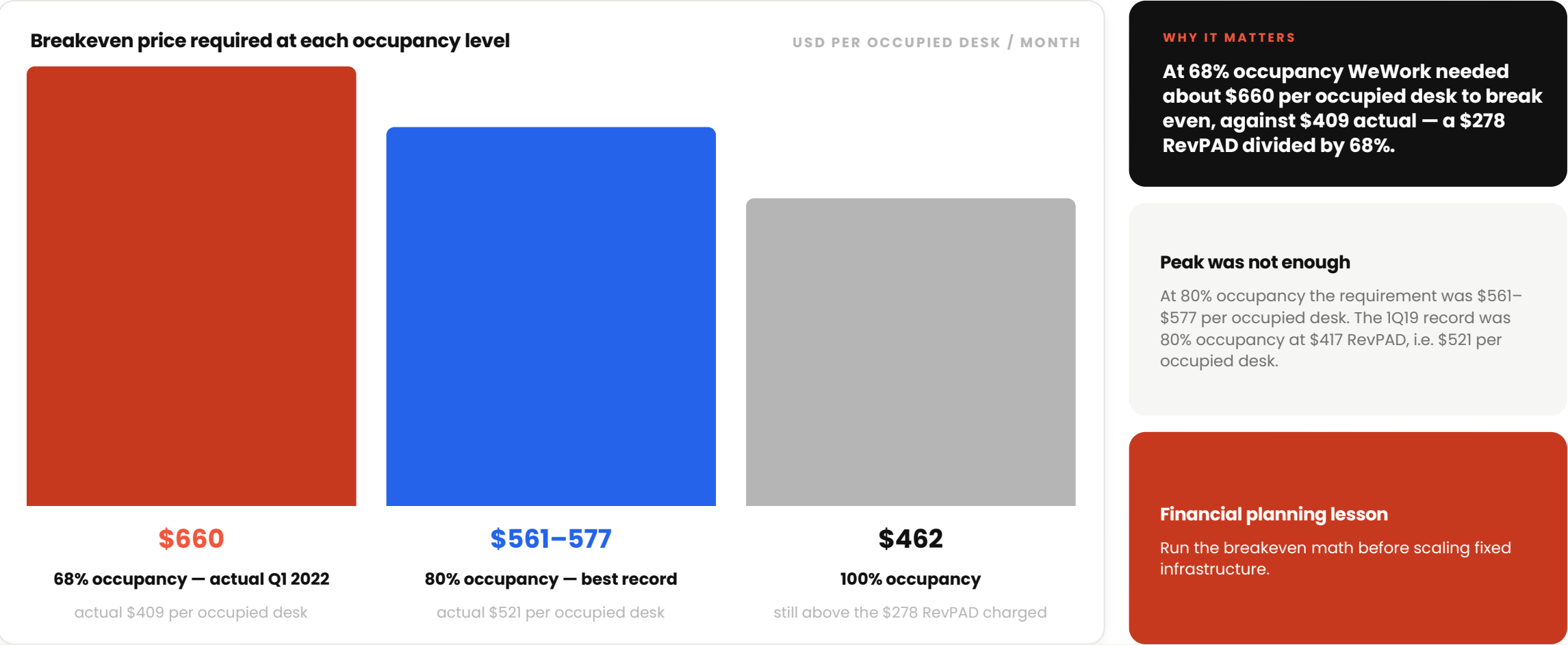
Loss per desk improved versus earlier quarters after cost cuts and occupancy recovery.

The bad news

The business remained below breakeven because each desk still did not carry enough margin.

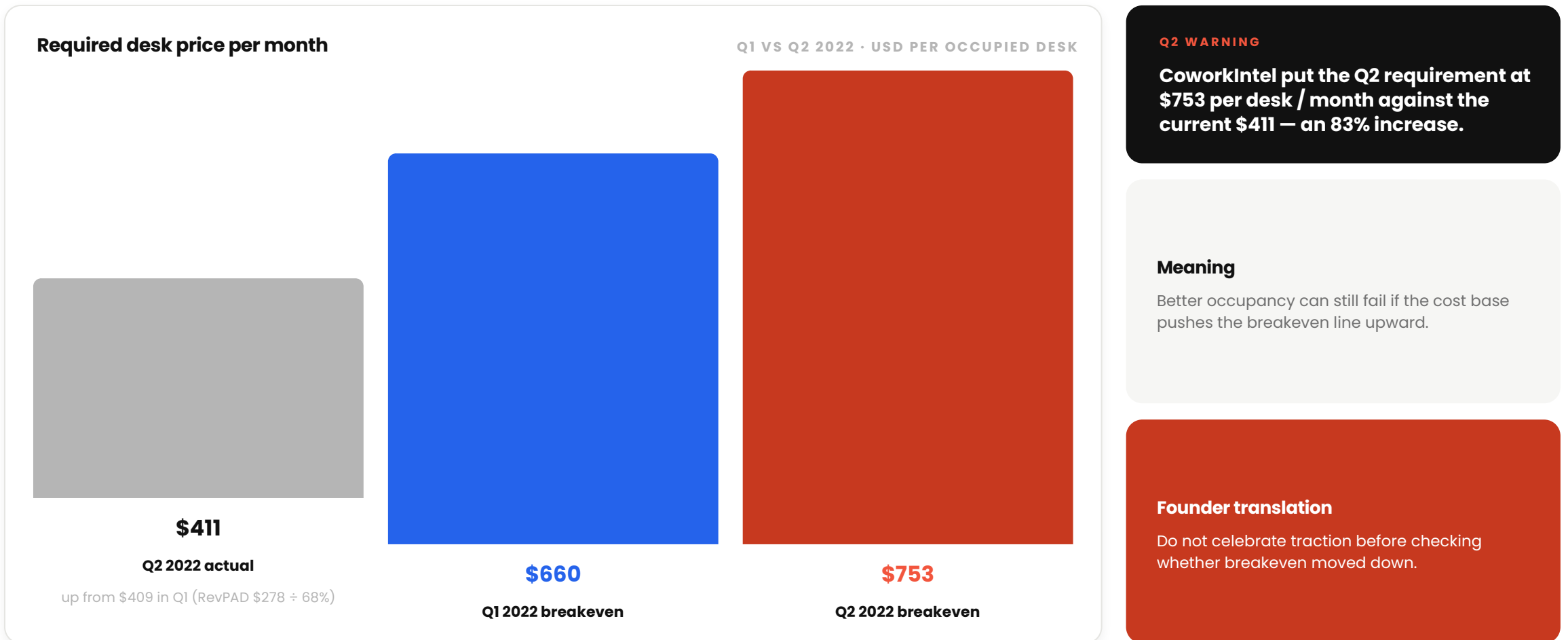
Even WeWork's Best Occupancy Was Still Below Breakeven

The price per desk needed to rise sharply; more occupancy alone could not fix the model.



The Breakeven Line Moved the Wrong Way After Progress

Occupancy and desk rate improved, but the breakeven requirement per occupied desk rose under the updated cost structure.



The Failure Was Visible Before Bankruptcy

WeWork is useful because the failure was not only bad management; the business model carried structural financial risk.

01

Revenue is not proof

Revenue can rise while desk-level economics remain negative.

02

Fixed commitments are risk

Long leases and build-outs create obligations before demand is proven.

03

Occupancy has a price floor

Even high occupancy fails if desk price is below breakeven.

04

Scale needs gates

Expansion should wait for proven payback, margin, and cash timing.

FOUNDER TEST Before scaling, prove that $\text{price} \times \text{occupancy}$ can cover fixed commitments + variable costs + CAC.

Next Session — Fundraising & Investment Readiness

Investment readiness begins when the business model, evidence, and financial logic tell the same story.